



The Health Care Pricing Project uses insurance claims data from Aetna, Humana, and UnitedHealth to examine the variation and growth in health care spending on the privately insured.

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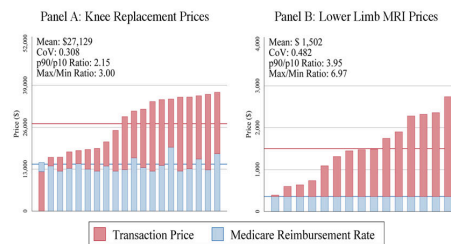
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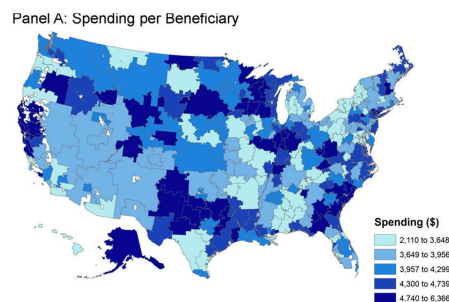
1 The Price Ain't Right? Hospital Prices and Health Spending on the Privately Insured

AUTHORS: Zack Cooper, Stuart Craig, Martin Gaynor, John Van Reenen

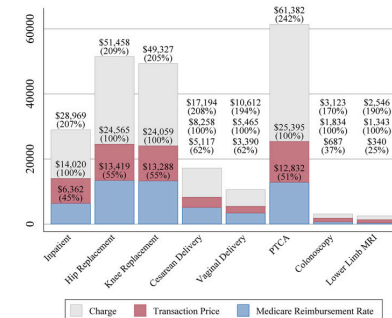
We use insurance claims data covering 28% of individuals with employer-sponsored health insurance in the United States to study the variation in health spending on the privately insured, examine the structure of insurer-hospital contracts, and analyze the variation in hospital prices across the nation. [More about this paper »](#)



Within-market variance in hospital prices for knee replacements and lower-limb MRIs in Philadelphia PA.



Risk-adjusted spending per privately insured beneficiary.



Hospital charges, hospital transaction prices, and Medicare reimbursements in

2011

* The data for this study were provided by the Health Care Cost Institute.

PAPER 2 Hospital Prices Grew Substantially Faster Than Physician Prices For Hospital-Based Care In 2007–14

AUTHORS: Zack Cooper, Stuart Craig, Martin Gaynor, Nir J Harish, Harlan M Krumholz, John Van Reenen

We used data from the Health Care Cost Institute (HCCI) that included claims for people with employer-sponsored insurance from Aetna, Humana, and UnitedHealthcare—three of the five largest insurers in the US. These data included the prices that insurers negotiated with hospitals and physicians. More about this paper »

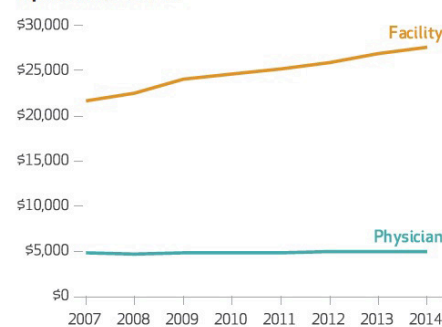
EXHIBIT 4
Changes in physician and facility prices for four hospital-based procedures and for total inpatient and outpatient care, 2007–14

Procedure	Physician price		Facility price		Total price		Facility component of total change
	Change, 2007–14	Compound annualized growth rate	Change, 2007–14	Compound annualized growth rate	Change, 2007–14	Compound annualized growth rate	
Cesarean section	5.9%	0.8%	41.9%	5.1%	27.8%	3.6%	91.7%
Vaginal delivery	7.1	1.0	46.8	5.6	29.4	3.8	89.4
Colonoscopy	34.1	4.3	41.7	5.1	39.6	4.9	76.0
Knee replacement	4.1	0.6	27.4	3.5	23.2	3.0	96.8
Inpatient	17.7	2.4	42.3	5.2	36.5	4.5	88.5
Outpatient	6.1	0.9	25.1	3.2	20.9	2.7	93.5

Physician and facility prices for four hospital-based procedures between 2007 and 2014.

EXHIBIT 3

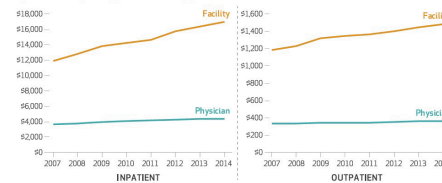
Inpatient physician and facility prices for knee replacement, 2007–14



Inpatient physician and facility prices for knee replacement between 2007 and 2014.

EXHIBIT 2

Inpatient and outpatient physician and facility prices, 2007–14



Inpatient and outpatient physician and facility prices between 2007 and 2014.

EXHIBIT 1

Hospital and physician prices for four hospital-based procedures and for total inpatient and outpatient care, 2007–14

Procedure	Observations	Total price	Mean physician price	Mean hospital price	Hospital component of total price	Median age group (years)
Cesarean section	362,908	\$12,854.58	\$4,575.49	\$8,279.09	64.4%	25–34
Vaginal delivery	481,296	\$2,786.54	\$3,664.88	\$5,613.66	60.5	25–34
Colonoscopy	254,825	\$2,419.41	\$638.37	\$1,791.04	74.0	45–54
Knee replacement	157,611	\$29,763.85	\$4,857.60	\$24,906.25	83.7	55–64
Inpatient	8,192,578	\$18,448.33	\$4,056.02	\$14,392.31	78.0	35–44
Outpatient	68,743,253	\$1,050.92	\$347.69	\$1,348.23	79.5	45–54

Hospital and physician prices for four hospital-based procedures and for total inpatient and outpatient care between 2007 and 2014.

* The data for this study were provided by the Health Care Cost Institute.

PAPER 3 Variation In Health Spending Growth For The Privately Insured From 2007 To 2014

AUTHORS: Zack Cooper, Stuart Craig, Charles Gray, Martin Gaynor, John Van Reenen

From 1960 to 2013 US health care spending increased by 8.1 percent per year, on average, in real terms. Over the past decade there has been a widely noted slowdown in Medicare spending. By contrast, during the same period private insurance premiums have risen dramatically. More about this paper »

EXHIBIT 4

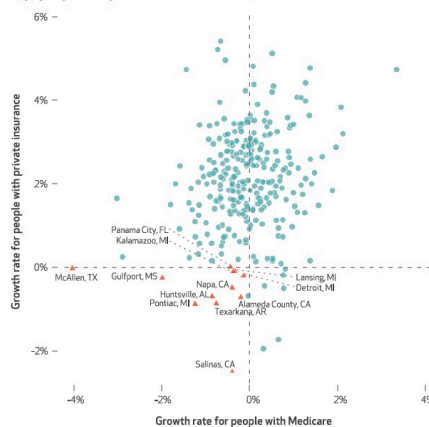
Bottom and top 20 hospital referral regions (HRRs) in growth in total spending per enrollee in employer-sponsored private insurance or fee-for-service Medicare, 2007-14

Bottom 20 HRRs				Top 20 HRRs			
Private Insurance		Medicare		Private Insurance		Medicare	
Name	Growth (%)	Name	Growth (%)	Name	Growth (%)	Name	Growth (%)
Salinas, CA	-2.52	McAllen, TX*	-3.96	Wilkes-Barre, PA	5.38	Waterloo, IA*	3.35
Los Angeles, CA	-1.98	Miami, FL	-2.96	Newark, NJ	5.18	Lafayette, IN	2.15
Honolulu, HI	-1.77	Huntington, TX	-2.82	Avening, AK	5.08	Tempe, TX*	2.10
Pontiac, MI*	-0.91	Gulfport, MS*	-1.93	Victoria, TX	4.93	La Crosse, WI	1.99
Texasark, AR	-0.90	Bozeman, CO	-1.74	Canton, NJ	4.78	Stockton, CA	1.91
Alameda County, CA	-0.75	Monroe, LA	-1.63	York, PA*	4.73	Grand Forks, ND	1.88
Huntsville, AL	-0.72	Johnson City, TN	-1.54	Waterloo, IA*	4.70	Lynchburg, VA	1.60
Royal Oak, MI	-0.72	Montgomery, AL	-1.53	Jackson, TN	4.69	Newport News, VA	1.51
Frederic, CA	-0.54	Jackson, TN	-1.38	Casper, WY**	4.38	Denville, NJ	1.44
Napa, CA	-0.50	Lafayette, LA	-1.32	Lincoln, NE	4.35	Sloat Falls, SD	1.42
San Bernardino, CA	-0.47	Wausau, WI	-1.31	Paterson, NJ	4.31	York, PA*	1.41
Gulfport, MS*	-0.28	Houma, LA	-1.28	Springfield, MA	4.19	Chico, CA	1.40
Detroit, MI	-0.23	Raleigh, NC	-1.25	Harrisburg, PA	4.17	Fargo, ND	1.38
Columbus, GA	-0.23	Little Rock, AR	-1.19	Lowell, IA	4.03	Binghamton, NY*	1.38
Lansing, MI	-0.13	Pontiac, MI*	-1.19	Reading, PA*	4.02	Casper, WY*	1.30
Kalamazoo, MI	-0.12	Birmingham, AL	-1.18	Birmingham, NY*	3.95	Ventura, CA	1.30
Modesto, CA	-0.09	Knoxville, TN	-1.12	Cape Girardeau, MO	3.91	Eugene, OR	1.28
McAllen, TX*	-0.06	Contra Costa, CA	-1.12	Hackensack, NJ	3.87	Salem, OR	1.24
Panama City, FL	-0.02	Talca, CR	-1.11	Tempe, TX*	3.79	Reading, PA*	1.21
Santa Barbara, CA	0.05	Hickory, NC	-1.10	Fort Worth, TX	3.66	Savoy, PA	1.20

Bottom and top 20 hospital referral regions in growth in total spending per enrollee in employer-sponsored private insurance or fee-for-service Medicare, 2007-14

EXHIBIT 3

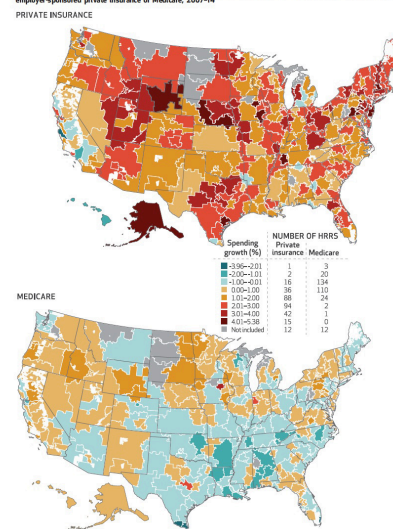
Growth rates in total spending in hospital referral regions (HRRs) per person for people with employer-sponsored private insurance or Medicare, 2007-14



Growth rates in total spending in hospital referral regions.

EXHIBIT 2

Geographic distribution of growth rates in total spending per person in hospital referral regions (HRRs) for people with employer-sponsored private insurance or Medicare, 2007-14



Geographic distribution of growth rates in total spending per person in hospital referral regions.

EXHIBIT 1

Growth in spending for people with employer-sponsored private insurance or fee-for-service Medicare, 2007-14

Spending growth	Mean	SD	10th	25th	50th	75th	90th
Private insurance	1.99%	1.26	0.22%	1.34%	2.02%	2.84%	3.45%
Fee-for-service Medicare	-0.02%	0.80	-0.06%	-0.47%	-0.04%	0.44%	0.94%

Growth in spending for people with employer-sponsored private insurance or fee-for-service Medicare between 2007–2014.

* The data for this study were provided by the Health Care Cost Institute.

In the News



Health Care's Price Conundrum

The New Yorker, 2016-01-07

Doubt is Cast on Medicare as a Model for Health Costs

The New York Times, 2015-12-21





[Where Health Care Is Better and Cheaper: Answers to 10 Questions](#)

The Upshot, 2015-12-21



[An Unprecedented Look at Medical Costs Nationwide](#)

Marketplace, 2015-12-18

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